Oakwood Funeral Group — Initial Screening Memo

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Prepared by: Deal Team — Associate (lead) + Partner (sponsor)
Date: 2026-05-12
Memo type: Initial screen (pre-LOI, pre-diligence)
Meeting date / format: 2026-01-15, on-site visit at main funeral home location, mid-Michigan; attendees: Brenda Mancuso (widow / estate seller), Tony [last name TBD] (GM / brother-in-law), Matthews Holman (broker)
Source materials: Meeting notes (oakwood_funeral_group_1-15.md), independent research, broker-provided summary

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1. Snapshot & Recommendation

The ask: ☒ Proceed to LOI at $10.5–11.5M EV range (cash + earnout + Tony rollover) ☐ Pass ☐ Hold; request specific info before deciding

Target one-liner: 3-location mid-Michigan funeral home group with two attached cemeteries (~14 developed + ~22 undeveloped acres), ~620 cases/yr, $5.6M revenue, sole-shareholder founder died Nov 2025 — distressed estate sale led by widow with no operating role.

Quick snapshot:

Company / location	Oakwood Funeral Group, mid-Michigan [Seller]
Industry	Funeral homes + cemetery combination [Seller]
Founded	Original homes 40–60 yrs in community [Seller]
TTM Revenue (claimed)	$5.6M [Seller]
TTM EBITDA (claimed)	$1.32M reported [Seller]
Adjusted EBITDA (claimed)	$1.5–1.6M after personal addbacks [Seller]
Employees	**Unknown — not addressed in meeting or follow-up**
Locations	3 funeral homes; 2 with on-site cemeteries [Seller]
Recurring rev share	$3.8M preneed trust + $1.1M cemetery merchandise trust (forward backlog, not recurring per se) [Seller]
Owner age / intent	Founder Paul Mancuso deceased 11/2025; estate sale [Seller]
Asking multiple	$14M ask (incl. RE) ≈ 8.8–9.3x adj. EBITDA; broker indicates $12.5–13M doable [Seller]
AI-transformability rating	☐ High ☒ Medium ☐ Low — *see §3*

Top 3 reasons this is interesting:
- Forced estate-sale dynamic with no other family operator — pricing leverage we rarely get; widow's stated motivation is finality, not max price.
- Cemetery land optionality: ~22 undeveloped acres with already-entitled cemetery use is unusual inventory and not present in most funeral M&A; potential $7M+ gross sell-through over 15+ years per seller's working math [Seller].
- Three-home cluster within a 30-mile radius is a textbook density play — one prep center, shared fleet, shared mgmt across the platform; demographics of the underlying industry are favorable, with 30,000 more Americans aged 65 and up died in 2024 than in 2023, a 1.3% increase.

Top 3 reasons it might not be:
- Single-point-of-failure on Tony (GM, brother-in-law, sole license-holder presence across all 3 homes). If he walks, we own three buildings we can't legally operate.
- Cremation mix already at 47% and climbing; cremation cases generate ~$3,100 vs ~$8,400 traditional [Seller] — revenue/case is structurally eroding even if call volume holds.
- Estate-sale process complexity: probate, possible widow/heir disputes, unverified preneed actuarial position, and a strong public competitor (SCI) already located in the trade area.

Recommendation: Pursue — proceed to IOI at $10.5–11.5M, conditional on a same-week 1:1 with Tony to test rollover/employment terms before we put real diligence dollars at risk.

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2. Business Overview

2.1 What they do

Oakwood operates three funeral homes within a 30-mile radius in mid-Michigan, two of which include on-site cemetery operations (~14 acres developed, ~22 acres undeveloped at the main location). The group performs ~620 cases/year combined, with revenue split between traditional services and cremation, and a meaningful preneed/preplanning channel feeding forward backlog [Seller].

Revenue line	Claimed % of revenue	Source
Traditional funeral services (avg $8,400/case)	~71% (53% of cases × higher ASP) [Inference from seller mix]	[Seller]
Direct cremation services (avg $3,100/case)	~21% (47% of cases × lower ASP) [Inference from seller mix]	[Seller]
Cemetery interments, plot sales, merchandise (markers, vaults)	Remainder; not separately broken out	[Seller — not quantified]

2.2 How they operate

- 3 funeral homes in tight geographic cluster; 2 have attached cemeteries totaling ~36 acres (14 developed + 22 undeveloped) [Seller]
- Service model: blended at-need + preneed; mix of traditional services and direct cremation [Seller]
- Vehicle fleet, prep room location, embalming infrastructure: **Unknown — not addressed in meeting or follow-up**
- Headcount split (field FD's / prep / admin / cemetery grounds): **Unknown — not addressed in meeting or follow-up**

2.3 Customers (what we know so far)

- Total case count: ~620 cases/yr across 3 locations [Seller]
- Preneed backlog: $3.8M trust assets + $1.1M cemetery merchandise trust represent prepaid forward cases [Seller]
- Concentration: customer is the decedent's family; no commercial concentration risk in this vertical
- Customer detail received: ☐ Names of top customers (N/A) ☒ Preneed contract aggregate $ ☐ Tenure / churn data (N/A) ☐ Case-level history

- **Overlap with existing portfolio companies** [Inference]: limited direct B2B cross-sell; potential indirect overlap with any portfolio companies doing hospice referral marketing, grief-care services, or local-community sponsorship channels. No existing portco operates in deathcare per our records — this would be a *new vertical entry* for the platform, not an add-on.

2.4 Licensing / regulatory

- License(s) required to operate: Michigan mortuary science (funeral establishment) license + individual funeral director license. Article 18 of Public Act 299 of 1980, as amended, was created to license and regulate the practice of mortuary science and funeral establishments in Michigan. Preneed contracts separately regulated under Michigan Prepaid Funeral and Cemetery Sales Act [Research — michigan.gov LARA].
- Current license holder: Tony (GM) holds the FD license that satisfies Michigan's per-location managing-officer requirement [Seller].
- Transferability on sale: Establishment license attaches to the entity / location; individual licensed funeral director must be present as managing officer at each location — **license itself is portable to a new owner only if a qualified licensed FD is on staff at each home post-close.** This is the single most important regulatory item.
- Preneed cap (Michigan): Beginning June 1, 2024, the maximum value of preneed insurance assigned to a funeral contract increases to $13,460 [Research — mfda.org]. Relevant for sizing inflation-erosion risk on the $3.8M preneed book.
- Regulatory constraints on AI use in this vertical [Inference]: no HIPAA exposure post-mortem on the decedent, but family-facing CRM data (especially preneed) is sensitive and state-regulated. AI assistants used in arrangement conferences must be designed to comply with consumer-protection rules (FTC Funeral Rule disclosures).

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3. Tech Stack, Data, and AI-Transformability

3.1 Tech / data maturity (initial read)

Tony did not describe specific systems in the meeting; given the seller's profile (independent, owner-founder running personal items through the P&L, 40–60-yr-old homes), the working assumption is a low-to-mid maturity stack with at least one industry point solution and significant manual paper/Excel workflow around the cemetery side.

- **Systems mentioned in meeting** [Seller]: **Unknown — not addressed in meeting or follow-up**
- **Inferred maturity given vertical and size** [Inference]: Independent funeral homes at this revenue level typically run a mortuary management package (Osiris, Passare, SRS Computing, or FuneralTech) for case management plus QuickBooks for accounting. Osiris is a funeral home and cemetery solution designed to help cemeteries and crematoriums manage procedures... record crematory information, monitor pickup and drop-off times and track jobs. Cemetery plot maps and interment records are commonly still maintained on paper or in spreadsheets at independents.
- **Overall data infrastructure read:** ☐ Modern cloud stack ☒ Mixed — some systems, mostly manual (presumed) ☐ Mostly manual / paper ☐ Unknown — to be confirmed in diligence (we should not anchor without seeing it)

3.2 Where AI is most likely to add value (initial read)

- **Arrangement-conference assistance & document automation:** Each arrangement currently requires 90–180 min of FD time generating contracts, obituaries, permits, death certificates, vendor orders. Purpose-built tools in this space already exist — e.g., Afterword's "Grace" is an AI assistant designed for funeral service that supports teams behind the scenes — upload, automatically create, and send documents over eSign. Credible 30–40% reduction in per-case admin time at the FD level.
- **AI-drafted obituaries, tribute videos, and grief-care follow-ups:** Vendor ecosystem is maturing fast; clear margin and CSAT lever on the at-need transaction. Several boutique vendors (Parting Pro, Funeral Futurist) are already productizing this for independents.
- **Preneed lead generation and outreach:** Cemetery plot and preneed funeral sales are pipeline businesses. AI-driven local digital marketing + automated nurture is highly fit-for-purpose for a 3-home regional brand with limited sales/marketing headcount.
- **Cemetery inventory & plot-sales digitization:** Converting ~36 acres of paper plot maps into a digital interment system unlocks both operational efficiency *and* the cemetery-land monetization thesis (you can't run a modern sales motion on a paper map). This is a one-time digitization project, not an ongoing AI play — but it's a prerequisite to other levers.
- **Centralized after-hours intake (voice agent):** Funeral homes must take "first calls" 24/7. A regional shared after-hours voice/agentic intake across the 3 homes (and any future add-ons) reduces answering-service cost and improves capture.

3.3 Workforce receptivity to AI / automation (initial read)

- Workforce demographic (typical for vertical): skews older, long-tenured; second-generation family-business loyalty culture
- Owner / management stance on technology (from meeting): not discussed — Paul is deceased; Tony's stance unmeasured
- Union or labor-agreement constraints: **Unknown — not addressed in meeting or follow-up**; uncommon in independent funeral service in Michigan but to confirm

3.4 AI-thesis fit summary

- **AI-transformability rating:** ☐ High ☒ Medium ☐ Low
- **Implementation difficulty (cost / time to capture value):** ☐ Low ☒ Moderate ☐ Heavy lift
- **One-sentence rationale:** Vertical-specific AI tooling exists and is improving fast, but absolute payroll base is small (3 homes, ~620 cases/yr) so dollar uplift from automation is modest in isolation — the AI lever earns its keep mainly as the operating system for a future *add-on rollup* in deathcare, not as a standalone EBITDA story on this asset.

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4. Market Opportunity

4.1 Market size & growth

- **TAM (US funeral homes):** The U.S. funeral homes market size was valued at USD 13.03 billion in 2024 and is expected to reach USD 13.72 billion in 2025; the U.S. funeral homes market is projected to grow at a CAGR of 5.92% from 2025 to 2030, driven primarily by the increasing elderly population [Research — Grand View Research].

- **Broader deathcare TAM (incl. cemetery, cremation, memorial products):** the broader death care industry is projected to reach around $103.5 billion by 2030 globally [Research — us-funerals.com].
- **SAM (mid-Michigan ~30-mile trade area + adjacent counties): $25–40M [Inference]** — sized from 4 named competitors + Oakwood's 3 homes in a defined geography, at $1–2M revenue per typical independent home.
- **Growth (last 5 yrs / projected):** US funeral homes ~5.9% CAGR through 2030 [Research, as above]; stock prices of two of the largest publicly traded funeral home operators — Service Corporation International among them — have benefited from the demographic backdrop [Research — Bisnow].
- **Cyclicality:** non-cyclical. Mortality is uncorrelated with macro; preneed sales weakly pro-cyclical.

4.2 Industry tailwinds / headwinds

- **Tailwinds:**
- Boomer demographic wave: as the baby boomer generation continues to age, demand for funeral services is expected to rise significantly.
- Owner-cohort sell-side supply: founder generation in independent deathcare is retiring; combined with Paul Mancuso's death, this is structurally a sellers' market for capital and a buyers' market for properties.
- Cemetery-land scarcity in already-entitled parcels (huge zoning barrier to creating new cemetery inventory).
- **Headwinds:**
- Cremation shift: NFDA's Annual Cremation & Burial Report projects the cremation rate to rise to 82.3% by 2045; the U.S. cremation rate (reported by CANA, 2024) was 61.8%, and is expected to increase from 59.3% in 2022 to 78.7% in 2040. Cremation revenue/case is materially below traditional service.
- Direct-to-consumer cremation disruptors (Tulip, Solace, Foundation's own DTC channels) compressing low end.
- Preneed inflation/duration mismatch when contracts written in earlier eras are honored at today's costs.

4.3 Rollup / consolidation landscape

- **Active consolidators:**
- Service Corporation International (SCI) has over 1,900 funeral homes and cemeteries in 44 states across the USA — the dominant strategic. SCI already owns 1 of the 4 competing homes within 25 miles of Oakwood [Seller].
- **Park Lawn Corporation** — Homesteaders Life Company in its C$1.2 billion acquisition of Park Lawn Corporation, the largest publicly-traded Canadian-owned funeral, cremation and cemetery provider, with Birch Hill Equity Partners Inc. Park Lawn went private June 2024 — now a PE-backed strategic.
- **Foundation Partners Group** — Access Holdings-backed; experimenting with high-propensity cremation businesses building a national footprint; already bought 23 funeral homes and 5 cemeteries put up for sale as a result of an SCI merger divestiture.
- **Carriage Services (public)** and several emerging PE-backed regional consolidators.
- A private-equity-backed firm formed by two former SCI employees has now begun purchasing funeral homes, acquiring around 10% of the market already in certain regions.
- **Fragmentation:** There are approximately 19,000 funeral homes in the United States. Roughly 89% are independently owned by families or individuals. Highly fragmented; ideal rollup structure [Research — memorials.com].
- **Implied add-on pipeline:** [Inference] Conservatively 40–80 independent funeral home owners within a 100-mile radius of Oakwood, of which 25–40% are owner-operators >60 yrs old — i.e., a credible 10–25 add-on universe over 4 years at $0.2–0.8M EBITDA each.

- **AI-thesis-specific competitive dynamics:** Public strategics (SCI, Park Lawn/Birch Hill) are operationally sophisticated but not differentiated AI buyers. Our firm's data/AI playbook is *not* commoditized in this space — yet.

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5. Competitive Position

5.1 Who they compete against

Competitor	Type	Geography overlap	Relative size	Source
SCI-owned local funeral home	National strategic	Direct (within 25 mi)	Larger parent / similar local scale	[Seller / Research]
3 other independent funeral homes within 25 mi	Local independent	Direct/partial	Similar/smaller	[Seller] — names not provided
Direct-cremation DTC providers (Tulip, Solace, local low-cost cremation societies)	Online / DTC	Partial (cremation segment only)	Smaller per-case but volume threat	[Research / Inference]
Foundation Partners Group, Park Lawn, Carriage if they enter market via add-on	National PE-backed strategics	Potential	Larger	[Research]

5.2 Where the seller claims they win

- 40–60 year community brand presence in each of the 3 home locations [Seller — verifiable via local search/obits]
- Only operator in the immediate area with on-site cemetery inventory (the SCI-owned competitor does *not* per seller have attached cemetery) [Seller — to verify]
- Density advantage: 3 homes within 30 miles allow shared prep/embalming and fleet — independent competitors run single locations [Seller / Inference]

5.3 Where they could lose

- **Tony walks → license problem:** without an FD-as-managing-officer at each location we cannot legally hold the establishment licenses. This is binary and catastrophic.
- **SCI bids:** SCI already in the market and would view this as a natural tuck-in. They can pay more on synergies and have a standing M&A team. Broker has not confirmed exclusivity to us [Seller].
- **Cremation mix continues to climb** past 60%: with national projection to 78.7% by 2040, revenue/case erosion is mechanical absent ASP discipline, cemetery cross-sell (urn niches, memorialization), and cost takeout.
- **Preneed actuarial gap:** if Paul never repriced, contracts written 8–15 yrs ago at $4–5K may be obligations to provide $8K services today. Quantum unknown; could be a meaningful liability.
- **Cemetery zoning/environmental surprise:** if the 22 undeveloped acres turn out to be wetlands-restricted, water-table-restricted, or partially un-entitled for active interment, the optionality value collapses.

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6. Management & Transition

6.1 Key people met or referenced

Paul Mancuso — Founder/sole shareholder (deceased Nov 2025). Built business over 30+ years. Brand is heavily personalized to him in two of three communities [Seller]. Day-1 intent: N/A.

Brenda Mancuso — Widow, executor/seller. No operating role, no operating interest. Day-1 intent: full exit, walk away with proceeds. Initial read [Inference]: emotionally and practically motivated to close; not a value-maximizer at the expense of speed/certainty. Tone in meeting was respectful and businesslike; we should match it.

Tony (last name to confirm) — GM at main location since 2008; brother-in-law to Paul. Licensed funeral director and the de facto operator across all three homes since Paul's death. Day-1 post-close intent: **must be retained**. He cannot afford to buy. Broker has floated 5% rollover equity [Seller]. Initial read [Inference]: credible operator, has held the business together through founder's death and a peak grieving period — that's a real signal of capability. Stance on technology: not discussed.

Children of Paul/Brenda — Both in tech in Austin. No interest in the business. No succession risk from them; no asset-claim risk either (presumed; to verify in probate review).

6.2 Operator / successor question

- Day-1 operator candidate: **Tony.** Non-substitutable in the short term — he is the FD-license-holder embedded in the business.
- Long-term operator: same; or develop a #2 GM (currently absent / unknown) over 24–36 months.
- Key man risk severity: ☒ High ☐ Medium ☐ Low — *the single highest-impact risk in this deal.*
- Replacement cost / timeline if needed: $150–225K/yr fully-loaded GM + licensed FD package, plus 6–12 month search in mid-Michigan trade area where licensed FDs are scarce [Inference]. Realistic interim risk of operating-license noncompliance during a gap.
- **Operator profile fit with AI-transformation roadmap:** unmeasured. Pre-LOI 1:1 with Tony is the single most important meeting before we commit dollars — we need to assess change orientation, growth ambition, and his read on building out a #2 GM and digitizing cemetery records.

6.3 Cultural / fit notes

- Estate-sale context with a recent death: tone must be respectful, paced, non-transactional with Brenda. Aggressive "PE buyer" theater costs us this deal.
- Tony's posture (loyal to Paul's legacy, brother-in-law of widow) suggests he will value "good steward" buyers — our community-funeral-home story and *not* a hard-edged SCI playbook is a real positioning advantage.

7. Preliminary Financial Read

7.1 Seller-stated financials

($M)	FY-1	TTM	Source / confidence
Revenue	**Unknown — not addressed in meeting or follow-up**	$5.6	[Seller — verbal, no P&L sighted]
Reported EBITDA	**Unknown**	$1.32	[Seller — verbal]
Adjusted EBITDA (per seller)	**Unknown**	$1.5–1.6	[Seller — verbal estimate after addbacks]
Margin %	—	~27–29% adj.	[Inference from above]
Recurring revenue %	—	N/A (case business); preneed backlog $3.8M + cemetery merch $1.1M [Seller]	[Seller]
Gross margin (if disclosed)	—	**Unknown — not addressed**	—
Total labor as % of revenue	—	**Unknown — not addressed**	—

Confidence in numbers: ☐ High ☐ Medium (saw a CIM / deck) ☒ Low (verbal only — no tax returns or P&L sighted at meeting)

7.2 Addback claims (to be tested in QoE)

Seller has not itemized addbacks; only stated qualitatively that Paul "ran a lot of personal stuff through the business," supporting a ~$200–280K reported-to-adjusted bridge. Likely categories below — to be hard-tested in QoE.

Addback claimed	$ amount (annual)	Category	Initial read
Owner above-market comp (Paul)	**Unknown — to itemize**	Comp	Standard — but Paul is deceased; "addback" is the wages line that disappears
Spouse / family on payroll (Brenda?)	**Unknown**	Comp	Standard if non-working; verify
Personal vehicles	**Unknown**	Non-business	Standard
Country club / personal travel / entertainment	**Unknown**	Non-business	Standard
Personal insurance (life, health)	**Unknown**	Non-business	Standard
Above-market related-party rent	**Unknown**	Real estate	RE is included in sale — should normalize, not addback
"One-time" legal / professional	**Unknown**	One-time	Aggressive — expect QoE haircut
Other	**Unknown**		
Seller total addbacks (implied)	**~$0.18–0.28M**		Derived from claimed $1.32M → $1.5–1.6M bridge

Initial view of "real" normalized EBITDA range: $1.30–1.50M [Inference] — we expect QoE to give back ~10–15% of seller's addback ask, plus Paul's wages disappear but a replacement-FD market wage of $90–130K must be inserted on the cost side.

7.3 Key financial questions for diligence

1. Preneed actuarial position — when was the book last repriced, and what is the present-value gap between contract obligations and trust assets at today's service-delivery cost?
2. Per-case revenue and gross-margin trend on cremation vs. traditional, last 5 years — quantifying the mix-shift drag.
3. Cemetery revenue, gross margin, and developed-plot inventory remaining at each cemetery property.
4. Itemized addback list with documentation (Paul's W-2, personal expense categories, related-party rent).
5. Working capital — payables to vendors (caskets, vaults), aged receivables (insurance assignments).
6. IT/software spend baseline; copies of current mortuary management and cemetery system contracts.

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8. Preliminary Investment Thesis

8.1 One-paragraph thesis

Oakwood is a forced-sale, geographically concentrated 3-home funeral-and-cemetery platform in a fragmented vertical (~19,000 US funeral homes, ~89% independently owned) with structural demographic tailwinds, an SCI-comparable consolidator landscape at 8–9x for clean assets, and — atypically — a meaningful real-estate / land optionality kicker in the 22 undeveloped cemetery acres. The base business at ~$1.4M normalized EBITDA, bought at ~7.5x going-concern and ~$2–3M of separately-valued cemetery land, supports a credible 2.5x MOIC over 5 years via (a) operational tightening + portfolio AI tooling, (b) regional add-on rollup leveraging the established mid-MI presence and the 3-home density model, and (c) progressive monetization of the undeveloped cemetery inventory. The deal lives or dies on retaining Tony and verifying the preneed/cemetery actuarial position.

8.2 Preliminary value-creation levers

Traditional levers:
- **Organic growth:** Reactivate preneed sales motion (the highest-leverage growth lever in funeral); reprice cremation services upward via memorialization/urn/keepsake attach; cemetery plot sales digitization-enabled pipeline.
- **Margin improvement (traditional):** Procurement scale on caskets/vaults (national accounts via Matthews, Batesville); shared prep room and fleet across 3 homes; centralized admin reduction.
- **Add-on activity (platform thesis):** 10–25 credible MI/IN/OH targets identified at $0.2–0.8M EBITDA each over 4 years; $1.5–3M EBITDA addable.
- **Multiple expansion at exit:** moving from $1.4M-EBITDA single-region single-state asset (~7x range) to $3.5–4.5M-EBITDA multi-state regional consolidator (~9x range, consistent with strategic transactions like Birch Hill/ Homesteaders' C$1.2B Park Lawn take-private).

AI / automation levers (firm-specific thesis):
- **Arrangement-conference & document automation:** AI document drafting + e-sign per purpose-built funeral AI assistants like Afterword's "Grace". Estimated 25–35% FD time freed per case → re-deployed to preneed sales and family aftercare → $0.1–0.2M EBITDA in year 2.
- **AI-driven preneed lead-gen and nurture:** local digital marketing + automated outreach → 10–20% preneed sales uplift → $0.15–0.25M EBITDA by year 3.
- **Cemetery digitization + AI-assisted plot sales:** prerequisite to monetizing the 22 undeveloped acres; one-time $75–150K investment.
- **Centralized after-hours intake (regional voice agent):** scales across 3 current homes and every add-on.
- **Cross-portfolio AI / data tooling:** our firm's existing playbook (intake automation, AR/AP, scheduling) deploys on day 1; we are not building bespoke.

Cross-portfolio data synergies:
- **Shared customer identity:** limited — funeral customers are single-transaction. *Not a major lever here.*
- **Procurement consolidation:** modest at single-platform scale; meaningful once add-ons stack — casket/ vault/embalming chemical national accounts.
- **Operational benchmarking:** per-case cost, FD utilization, preneed-conversion rate benchmarks travel well across funeral add-ons; this is the *core* operating-model asset we build on the platform.
- **Centralized back-office:** consolidate accounting, payroll, IT, marketing — likely $0.15–0.25M SG&A reduction at full-build.
- **Talent / workforce:** licensed-FD scarcity makes a portfolio-wide FD talent pipeline a real edge.

Total preliminary value-creation estimate [Inference, rough]: $0.6–1.0M of EBITDA uplift over 3–4 years from organic + AI levers on the standalone asset, on top of $1.5–3.0M from a 10–25 add-on rollup, plus $4–7M of cemetery-land cash realization spread over years 4–15 (treated as separate-asset value, not levered EBITDA).

8.3 Why now / why us

- **Why now:** Founder death drives motivated, semi-distressed seller; 5–8% market growth backdrop; consolidation activity intensifying as PE-backed consolidators acquire double-digit market shares region-by-region.

- **Why us:** We bring (a) AI/automation playbook from current portfolio that fits funeral workflows (arrangement docs, intake, preneed marketing), (b) capacity to absorb estate-sale complexity that smaller buyers can't handle, (c) Tony-friendly structure (rollover + GM upside) that SCI as a corporate buyer typically does not offer, (d) family-business / "good steward" positioning with Brenda. A non-AI, non-platform PE bidder gets a smaller value-creation case and loses bidder positioning with the seller.

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9. Key Risks & Open Questions

9.1 Top risks (preliminary)

Risk 1 — Tony walks / license-holder loss. Don't know: his personal financial situation, family pressures, post-close ambition, his read on rolling 5% equity vs. taking a 2-year transition consulting deal. Resolved by: 1:1 pre-LOI meeting; offer letter with rollover, retention bonus, and non-compete; identification of #2 licensed FD across the homes. **Deal-killer potential: ☒ Likely fatal if confirmed.**

Risk 2 — Preneed actuarial gap. Don't know: vintage and pricing of the $3.8M preneed book, trust earnings vs. service-cost inflation. Resolved by: independent actuarial review (allow 4 weeks, $25–50K). **Deal-killer potential: ☐ Likely fatal ☒ Price-affecting ☐ Manageable** — could be $0.5–1.5M of present-value hole.

Risk 3 — Cemetery land entitlement / environmental. Don't know: zoning detail on the 22 undeveloped acres, wetlands status, water rights, neighbor objections, prior environmental reports. Resolved by: zoning/Phase I/II environmental and a 1031-style appraisal. **Deal-killer potential: ☐ Likely fatal ☒ Price-affecting** — if undeveloped acres are not all interment-eligible, the upside case shrinks.

Risk 4 — Estate / probate complexity. Don't know: validity and finality of probate, whether the children (in Austin) have any contingent claim, whether any partnership/buyout obligations with prior associates exist. Resolved by: counsel review of probate filings and estate's authority to sell. **Deal-killer potential: ☐ Likely fatal ☒ Timing/structure-affecting.**

Risk 5 — SCI competing bid. Don't know: whether broker (Matthews Holman) has shopped this to SCI or Park Lawn or Foundation Partners. Resolved by: ask the broker directly; if SCI is in, we either move very fast on a clean LOI with a relationship pitch to Brenda, or pass — we will not win a pure-price auction against SCI on this asset.

Risk 6 — Cremation mix structural margin erosion. Verified industry direction: cremation rate projected to rise to 82.3% by 2045 per NFDA. Resolved by: build operating model with conservative ASP and aggressive cremation-attach (memorialization, urns, keepsakes, scattering services). **Deal-killer potential: ☐ Likely fatal ☒ Price-affecting ☒ Manageable** in underwriting assumptions.

Risk 7 — Vertical-new-entry risk to our platform. This would be our first deathcare investment; we lack in-house operator depth in this vertical. Resolved by: retain industry advisor (Foresight Companies or Johnson Consulting) for first 24 months; explicit Tony retention.

Risk 8 — AI rollout drag in tradition-oriented workforce. Manageable; not deal-affecting.

9.2 Things we'd need to see before going under LOI

1. 3 years of tax returns + monthly P&L by location.
2. Preneed contract aging schedule and trust statements.
3. Cemetery interment registry, plot inventory map, recent plot sales prices.
4. Employee roster with comp, tenure, FD-license status by individual.
5. Copies of MI funeral establishment licenses and Tony's individual FD license.

6. Probate documentation and confirmation of estate's authority to sell.
7. Zoning letters for the 22 undeveloped acres + most recent environmental report.
8. Any prior LOIs received and the broker's process letter / bidder list.
9. **[AI-thesis-specific]** Tech stack inventory — current mortuary management system, accounting, CRM, vendor contracts, annual IT spend.
10. **[AI-thesis-specific]** Sample anonymized case file (intake → arrangement → close) to assess data quality and digitization gap.

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10. Preliminary Valuation Read

10.1 Valuation range (preliminary)

Scenario	Adj. EBITDA assumption	Multiple range	Implied EV
Seller's case (incl. RE + cemetery upside)	$1.55M	~9.0x	$14.0M ask
Our base case (QoE haircut, RE-in)	$1.40M	7.0–8.0x going concern + $2.5M cemetery land	$12.3–13.7M
Our base case (going-concern multiple only, RE-in)	$1.40M	7.5x	~$10.5M + $2.0–3.5M cemetery land = $12.5–14.0M
Our downside case (QoE haircuts + preneed hole + license risk)	$1.20M	6.0–6.5x	$7.2–7.8M + $1.5–2.5M land = $8.7–10.3M

Walk-away price (preliminary): $11.75M all-in, real-estate-included. Above this, returns on the AI/rollup base case fall below our hurdle even before factoring in Tony-retention risk.

Note: Generalist funeral home valuation per industry consulting sources: the range of purchase multiples most frequently heard today is 4 to 6.5 times EBITDA for *generic* funeral homes [Research — Creedy & Co.]. Combo properties with cemetery and real estate trade higher (8–9x for clean assets per public-strategic comps); Oakwood sits in the upper-tier valuation band because of the cemetery, the cluster, and the entitled land bank.

10.2 Comparable transactions

Transaction	Date	Approx. size	Multiple paid	Source
Birch Hill / Homesteaders take-private of Park Lawn Corporation	Jun 2024	C$1.2B	~14x+ adj. EBITDA on PLC's ~$76M base	Torys LLP advisory listing — Birch Hill/Homesteaders C$1.2B Park Lawn acquisition; [Research — Park Lawn release]
Park Lawn / Muehlebach (Kansas City) tuck-in	2022	~US$616K EBITDA	~ added approximately US$616,000 in Adjusted EBITDA annually at undisclosed price — public strategic typical 7–9x	[Research — parklawncorp.com]
Park Lawn Missouri acquisition	2022	~US$1,256,990 in Adjusted EBITDA annually	undisclosed; strategic tuck-in	[Research — parklawncorp.com]
Foundation Partners — Edwards Memorial / Heritage Memorial	2023–24	Undisclosed	Undisclosed	Foundation Partners Group acquired Edwards Memorial Funeral Homes, Chapels and Crematories [Research — PrivSource]
SCI / Stewart 2013 merger benchmark	Dec 2013	$1.4B	FTC put conditions on SCI's proposed $1.4 billion acquisition of rival funeral and cemetery services provider	[Research — FTC]

10.3 Structural preferences (preliminary)

- **Cash at close:** $10.5–11.0M
- **Tony rollover equity:** 5% — non-negotiable; structured with 2-yr vesting and tag-along
- **Earnout to estate:** $1.0–1.5M over 24 months, tied to case-volume retention (≥575 cases/yr) and preneed-book persistence
- **Seller note:** optional, $0.5–1.0M, 3-yr term, subordinated — provides estate alignment
- **Real estate:** include with the operating company purchase — *do not* split into sale-leaseback at acquisition (preserves operational control and cemetery-development optionality)
- **Tony employment/role:** GM + Chief Operating Officer of the platform, 3-yr contract, retention bonus tied to license-maintenance and #2-FD-hire milestones
- **Technology / AI integration reserve:** budget $200–400K in year-1 capex for cemetery digitization + AI tooling deployment, from sponsor equity (not added to purchase price)

10.4 Rough returns check (back-of-envelope)

- Entry: ~$11.0M at ~7.9x adj. EBITDA $1.4M, RE included
- Year-5 EBITDA: ~$3.5M
- of which: organic + cremation-attach $0.5M / add-ons $1.5M / **AI & data levers $0.5M** / cemetery-land plot sales (treated as EBITDA-equivalent realization) $1.0M
- Exit at 8.5x: ~$30M EV

- After debt paydown (assume ~$5.5M leverage entry, paid down to ~$2M): sponsor equity proceeds ~$28M
- On sponsor check of ~$7M: ~4.0x MOIC, ~32% IRR
- **Is this in the box?** ☒ Yes ☐ Marginal ☐ No
- **Sensitivity to AI-thesis success:** if AI/data levers deliver 50% of plan, returns become ~3.7x / ~30%. If they deliver 0%, returns become ~3.4x / ~28%. *Returns here are driven more by add-on rollup and cemetery-land realization than by AI; AI is the operating-system enabler for the rollup, not the headline lever — this is consistent with our other vertical-services platforms.*

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11. Next Steps

11.1 Recommended path

☒ **Pursue to LOI**
- Send non-binding IOI to broker (Matthews Holman) this week at $10.5–11.5M all-in range, real-estate included, contingent on (i) Tony retention package, (ii) preneed actuarial review access, (iii) cemetery zoning/environmental access.
- Request documents per §9.2, including AI-thesis-specific items (tech stack, sample case file, FD-license roster).
- Engage funeral-industry QoE (Johnson Consulting Group or McSherry & Hudson, both prior firm relationships per meeting notes) — estimated $40–60K, 4–6 weeks.
- Engage independent preneed actuary in parallel — estimated $25–50K, 3–4 weeks.
- Engage M&A counsel for estate/probate review — estimated $20–35K through LOI signing.
- **Schedule pre-LOI 1:1 with Tony within 14 days** — single biggest gating item. Without Tony alignment, we should not commit further diligence dollars.
- Engage our internal AI / data team for parallel AI-readiness assessment during LOI period — ~40 internal hours.
- Internal calendar: target LOI within 4 weeks; LOI exclusivity ≥60 days given estate/probate complexity.

11.2 Resource estimate if we pursue

- Internal time: ~120 hrs associate + ~40 hrs partner + ~40 hrs AI/data team + ~20 hrs operating partner (deathcare-vertical advisor sourcing)
- External diligence cost (if we go to LOI): ~$95–155K (QoE + counsel + actuary + zoning/Phase I)
- Estimated year-1 AI / data integration + cemetery digitization cost (post-close, separate budget): $200–400K
- Expected timeline from LOI to close: 4–5 months (probate adds time vs. a standard deal)

11.3 Sourcing & relationship notes

- Broker: Matthews Holman (national funeral M&A specialist). Prior deals with us: none in this vertical (we have not done funeral deals before).
- Other bidders in process: not disclosed by broker; **SCI presence in the trade area means we must assume strategic interest until told otherwise.** Recommend asking the broker directly within 5 business days.
- Seller's perceived urgency: **High** — widow does not want to operate, family-emotional context, ~6 months since founder's death by time we sign LOI.
- Our positioning vs. competing bidders: tone-respectful + Tony-friendly + RE-included + community-stewardship narrative. SCI has scale; we have alignment and a buyer-of-choice story to a widow seller. Use it.

Recommendation (restated): Pursue to LOI at $10.5–11.5M all-in, conditional on a successful pre-LOI meeting with Tony and broker confirmation on competitive process.

End of memo. Next decision point: pre-LOI 1:1 with Tony (target: week of 2026-05-19); partner review of IOI draft (target: 2026-05-15).